



**BRITISH AMERICAN
TOBACCO
KENYA**

**BAT KENYA
FY'23 Earnings
Note**





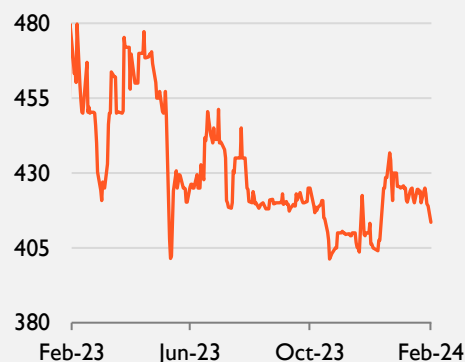
BAT Kenya FY'23 Earnings Note

February 20th, 2024

Ticker Information

NSE Code:	BAT
Issued Shares:	100,000,000
52-week high:	KES 495.00
52-week low:	KES 400.00

Chart 1: Price Trend (Last 12 Months)



Source: NSE, AIB-AXYS Research

Historical Share Performance

Last	1M	3M	6M	12M
Change	(2.7%)	0.9%	(1.7%)	(11.6%)

Source: NSE, AIB-AXYS Research

Analysts

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Recommendation

HOLD

Current Price

KES 413.50

Target Price

KES 460.75

Summary

- BAT Kenya navigated varied macroeconomic headwinds to post a 19.2% y/y softening in net earnings to KES 5.57Bn over the year ended December 2023.** Profit margins were grounded by a faster jump in excise duty and value added tax payable relative to gross sales growth, even as operating expenses held largely flat, recording a modest 80bps rise to KES 17.63Bn amid elevated input costs.
- Management remains keen on product expansion and deepening local and offshore markets, in response to a challenging operating environment.** Management hints at focusing on non-combustibles production and exercising differentiated smart pricing to mitigate the impact of fading volumes. Management also affirms low capital spending needs over the medium-term, citing underutilization of existing plants. As such, we expect the firm to sustain its top-tier dividend payout ratio.

Key Highlights

- Net sales shrunk notably by 6.7% y/y to KES 25.56Bn, driven largely by rising excise taxes and an offsetting shrinkage of demand, despite stronger pricing action over the period.** Excise taxes accelerated to take up 38.0% of gross sales value from 35.2% of gross sales a year prior - reflecting the lagged impact of two excise rate adjustments in the fiscal year FY22/23. Demand broadly declined 4.5% across its portfolio brand offerings. However, price increases coupled with the tailwind effect of a weakened shilling, helped mitigate the impact of declining volumes.
- Operating expenses held largely flat, growing by a modest 80bps to KES 17.63Bn.** This increase stemmed largely from the surge in prices of importable inputs over the period notably 60% of its tobacco leaf requirements. The depreciated shilling also magnified these expenses over the period. Management intends to upscale local capacity to derisk reliance on offshore markets, while maintaining key source markets for their blend requirements.

Shifting Demand Landscape

- **Pressurized consumer budgets over the period triggered slower volume growth and increased downtrading activities.** Widespread price pressures in the real economy led to reprioritized spending, as real income growth trailed behind inflation rates. This led to consumer affordability challenges, especially in the Kenyan market. This invariably correlated with higher illicit consumption incidences over the period.
- **Demand remained relatively resilient in offshore markets, especially in fast-growing markets such as DRC.** However, regulatory changes in key offshore markets, as well as geopolitical tensions in the Horn of Africa region piled pressure on revenue performance.
- **Management also anticipates fast growth in emerging business lines notably non-combustibles.** The product which has been the subject of regulatory tiffs, compelled the firm to halt its marketing, despite having launched a non-combustibles factory. However, the manufacturer signaled at finalization of compliance with regulatory requirements and are ready to accelerate marketing efforts.

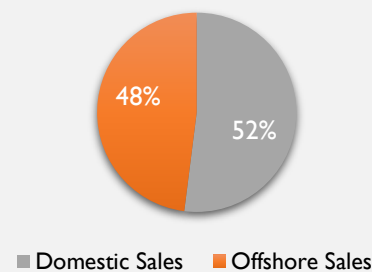
The Terrain Ahead

- The firm's acceleration of the cost to income ratio led to a notable decline in the return on equity below pre-pandemic levels. However, we note the strong efficiency in conversion of operating profits into free cash flows.
- Strong free cashflow conversion, low leverage as well as minimal capital spending needs over the medium-term horizon supported an increase in the firm's dividend payout ratio.
- Management has adjusted to the mounting volatility on the Kenya shilling over recent months, by maintaining sufficient dollar-denominated working capital to hedge against such excessive exchange rate risks.

Recommendation

- **We maintain our HOLD recommendation on BAT Kenya, on account of its sharp declining return on equity, yet remain cautiously optimistic for a robust recovery in consumer demand and sustained cost efficiencies over the medium-term.** We expect the firm's bottom-line to remain sensitive to exchange rate volatility and input price shocks over the year. Our one-year target price for BAT Kenya currently stands at KES 460.75 - representing a c.11.4% upside potential from current levels.

Chart 2: Net Sales Contribution (%)



Source: Company filings, AIB-AXYS Research.

Chart 3: Group Return on Equity Trend (%)

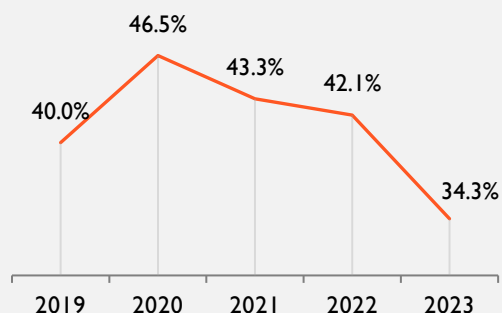
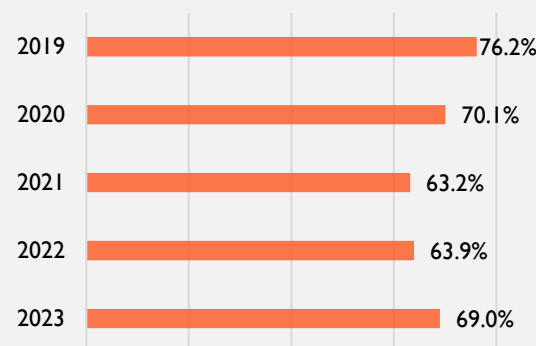


Chart 4: Cost to Income Ratio



Source: Company filings, AIB-AXYS Research.

Ratio Analysis	FY'2019	FY'2020	FY'2021	FY'2022	FY'2023
Capital structure Ratios					
Long-Term Liabilities ratio	8.6%	7.3%	8.0%	8.7%	8.3%
Long Term liabilities to Equity ratio	19.3%	13.3%	12.9%	12.7%	12.3%
Management Quality					
Net Margins	16.2%	21.8%	25.5%	25.2%	21.8%
Total Asset turnover	110.2%	116.7%	105.4%	114.3%	106.3%
Cost to Income ratio	76.2%	70.1%	63.2%	63.9%	69.0%
Earnings Quality					
Return on Equity	40.0%	46.5%	43.3%	42.1%	34.3%
Earnings Yield	8.1%	15.3%	14.7%	15.0%	13.7%
Dividend Yield	7.0%	12.5%	12.1%	12.4%	12.3%
P/E ratio	12.3x	6.5x	6.8x	6.7x	7.3x
Liquidity Ratios					
Current ratio	1.1x	1.3x	1.6x	2.2x	2.1x
DuPont Identity					
ROE	40.2%	46.3%	50.9%	42.2%	34.3%
Net Income/EBT	70.6%	74.0%	82.0%	69.7%	69.4%
EBT/EBIT	96.6%	97.7%	99.1%	100.3%	101.2%
EBIT/Revenue	23.8%	29.9%	36.8%	36.1%	31.0%
Revenue/Total Assets	110.2%	116.7%	105.4%	114.3%	106.3%
Total Assets/Total equity	224.5%	183.1%	161.1%	146.2%	148.0%
Altman's Z-score					
$1.2x_1 + 1.4x_2 + 3.3x_3 + 0.6x_4 + x_5$	3.3	3.8	4.0	4.3	4.0
x_1 = Working capital/Total assets	4.1%	11.6%	19.1%	26.6%	26.8%
x_2 = Retained Earnings/Total assets	31.9%	42.1%	46.2%	52.5%	51.9%
x_3 = EBIT/Total assets	26.3%	35.0%	38.8%	41.3%	33.0%
x_4 = MV of Equity/BV of Long-Term Liabilities	25.5%	22.9%	22.8%	22.1%	20.4%
x_5 = Net Sales/Total Assets	182.6%	179.0%	166.0%	176.4%	171.5%

Source: Company Filings, AIB-AXYS Africa Research



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